

May 7, 2026 02:38 AM GMT

Coherent Corp | North America

Executing to Plan

WHAT'S CHANGED

Coherent Corp (COHR.N)	From	To
Price Target	\$290.00	\$330.00

COHR's outlook as they ramp InP capacity points to taking steps towards capturing a larger part of the AI opportunity. Gross margin ramp moving along, but a little slower than peers, challenging stock in NT given 50%+ move over L3M, but would be buyers were sell-off to reach double digits.

Key Takeaways

- Revenue exceeded expectations with sequential growth acceleration, driven by a 41% Y/Y growth in datacenter and communications.
- Encouraged by lack of constraints as they scale, particularly on OCS.
- Gross margin pickup a little short of investor expectations, likely to cause some digestion in near term.
- Overall, walked away encouraged and would be buyers of material weakness vs. just some NT digestion.

Quarter played out largely as previewed. As we laid out in [our preview last week](#), demand conditions are known, what wasn't known from COHR was what degree they would be able to take advantage of those conditions in pricing / margins. We were more cautious heading into the print, highlighting that expectations had largely run ahead of margins company was likely to put up since still buying a lot of external lasers where pricing has gone up meaningfully. That is largely what played out in the quarter, with revenue coming in ahead of expectations, as sequential revenue growth accelerated (even despite Industrial segment underperforming), with datacenter & communications business growing 41% Y/Y, but gross margins largely being as expected (up 60bps Q/Q, but largely in-line with guidance). **Some digestion likely to take place in the stock given the run, but did walk away with estimates going up, causing us to be buyers of the stock if digestion enters double digits.**

What we liked:

- **Sequential revenue growth improvement as capacity scales.** COHR saw revenue growth accelerate to 7.1% Q/Q and 20.5% Y/Y in FQ3, from +6.6% Q/Q / 17.5% Y/Y in FQ2. Management framed June as a "new inflection point" for revenue growth, driven by strong demand and improving supply, with InP capacity expected to double by year-end one quarter earlier than planned.
- **Gross margins showing improvement as capacity ramps.** Non-GAAP gross margins improved to 39.6%, up 60bps Q/Q and 105bps Y/Y in FQ3, an improvement from the 30bps Q/Q / 80bps Y/Y in FQ2. Drivers include ramp

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Coherent Corp (COHR.N, COHR US)

Telecom & Networking Equipment | United States of America

Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$330.00
Shr price, close (May 6, 2026)	\$344.67
Mkt cap, curr (mm)	\$67,693
52-Week Range	\$364.73-66.86

Fiscal Year Ending	06/25	06/26e	06/27e	06/28e
EPS (\$) **	3.54	5.48	8.14	11.52
Prior EPS (\$) **	-	5.42	7.47	9.57
EPS (\$) §	3.52	5.36	7.56	10.04
P/E	26.7	76.1	47.9	32.6
ModelWare EPS (\$)	3.34	4.53	7.20	10.56
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.67	-	1.16a	1.66	1.77
Q2	0.95	-	1.29a	1.81	1.93
Q3	0.91	-	1.41a	1.92	2.11
Q4	1.00	1.54	1.62	2.08	2.31

e = Morgan Stanley Research estimates, a = Actual Company reported data

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of 6-inch InP production, yield improvements, and pricing optimization, though the ramp is still early and more 6-inch benefit should come as it becomes a larger mix of capacity.

- **Not seeing constraints on ability to scale other businesses.** While InP remains the key industry constraint, management did not indicate this is limiting adjacent ramps. This was particularly notable in OCS given commentary from peers last night about potential challenges to ramping there.

What we are watching:

- **Not yet seeing material step-ups in gross margins, even as telco portfolio reprices.** Pricing dynamics were described as “very healthy,” including in Datacenter & Communications, but gross margin progression remains measured rather than step-function, with 39.6% in FQ3 and our FQ4 margin expectation moving to 40%. Management pointed to seven quarters of improvement and a >42% target, but given peers performance, investors had been hopeful for more.
- **Industrial segment declining.** Industrial revenue declined modestly both sequentially (2%) and Y/Y, even after the military business sale, reflecting continued softness in broader industrial markets, though management noted improving semiconductor capital equipment bookings and expects improvement to begin contributing in the current quarter.

Revising estimates to better reflect InP ramp. While margins do not change meaningfully in our estimates, our sequential revenue improvements do step up as production ramps outlined at OFC come online. Our revised FQ4 / FY27 revenue / non-GAAP EPS estimates move to \$1.98bn / \$1.62 and \$9.46bn / \$8.14 vs. \$1.88bn / \$1.54 and \$8.73bn / \$7.47 previously.

Remain EW COHR, PT to \$330 (from \$290). We are raising our PT as we reflect higher earnings power from contributions of OCS / CPO / transceivers as capacity ramps. Our \$330 PT represents 28-30x our FY28e earnings power of ~\$11.5 (from 30x \$9.7), growing margin leverage as capacity comes online (and higher demand for CPO / OCS). Our multiple is above the historical average trading range given AI exposure. Our bear case valuation of \$160 (from \$144) reflects 16x our FY27e bear case earnings power of ~\$10 (from \$9). Our bull case valuation of \$450 (from \$400) reflects ~30x our CY28e bull case earnings power of ~\$15 (from ~\$13.5), which continues to reflect share gains in datacomm. Biggest risk to our PT is a turn in AI ecosystem valuations and EML constraints.

Analysis

Exhibit 1: Changes to Our Estimates

(\$ millions, except per share data)

	2025A	Y/Y (%)	Q1-26A	Q2-26A	Q3-26A	Q4-26E	2026E	Y/Y (%)	2027E	Y/Y (%)
New Revenue	\$5,810.1	23%	\$1,681.4	\$1,685.6	\$1,805.6	\$1,983.4	\$7,066.0	21%	\$9,463.3	34%
Old Revenue	\$5,810.1	23%	\$1,581.4	\$1,685.6	\$1,768.6	\$1,884.3	\$6,919.9	19%	\$8,732.1	26%
% Change	0%		0%	0%	2%	5%	2%		8%	
New Gross Profit	\$2,202.2	36%	\$612.6	\$657.1	\$714.2	\$793.4	\$2,777.3	26%	\$3,832.1	38%
New Gross Margin	38%		39%	39%	40%	40%	39%		40%	
Old Gross Profit	\$2,202.2	36%	\$612.6	\$657.1	\$698.3	\$745.9	\$2,713.9	23%	\$3,482.8	28%
Old Gross Margin	38%		39%	39%	39%	40%	39%		40%	
% Change	0%		0%	0%	2%	6%	2%		10%	
New Operating Income	\$1,036.9	68%	\$308.9	\$336.0	\$366.1	\$424.0	\$1,435.0	38%	\$2,132.0	49%
New Operating Margin	18%		20%	20%	20%	21%	20%		23%	
Old Operating Income	\$1,036.9	68%	\$308.9	\$336.0	\$367.5	\$398.0	\$1,410.4	36%	\$1,922.6	36%
Old Operating Margin	18%		20%	20%	21%	21%	20%		22%	
% Change	0%		0%	0%	(0%)	7%	2%		11%	
New Adjusted EPS	\$3.54	191%	\$1.16	\$1.29	\$1.41	\$1.62	\$5.48	55%	\$8.14	48%
Old Adjusted EPS	\$3.54	191%	\$1.16	\$1.29	\$1.42	\$1.54	\$5.42	53%	\$7.47	38%
% Change	0%		0%	0%	(1%)	5%	1%		9%	

Source: Morgan Stanley Research estimates.

Exhibit 2: FQ3 Performance / FQ4 Guide vs. Expectations

3Q26

Income Statement	3Q26A	3Q26E	Actual vs. MSe (%)	EPS Impact	Consensus	Actual vs. Consensus (%)	Y/Y Growth	Q/Q Growth
Revenue	\$1,806	\$1,769	2.10%	\$0.03	\$1,780	1.50%	20.6%	7.1%
Gross Profit	\$715	\$698	2.40%		\$703	1.70%		
Gross Margins	39.60%	39.50%	12bps	\$0.01	39.50%	8bps		
Operating Profit	\$366	\$367	-0.40%		\$372	-1.70%		
Operating Margins	20.30%	20.80%	(51)bps	(\$0.05)	20.90%	(66)bps		
EPS	\$1.41	\$1.42	-0.80%	(\$0.01)	\$1.40	1.00%	54.9%	9.5%

4Q26

	Guidance	MSe	Guide Up / Down %	Consensus	Guide Up / Down %	Y/Y Growth	Q/Q Growth
Revenue	\$1,980	\$1,884	5.10%	\$1,913	3.50%	29.5%	9.6%
EPS	\$1.62	\$1.55	4.20%	\$1.55	4.70%	62.0%	14.9%

Source: Morgan Stanley Research estimates, Refinitiv.

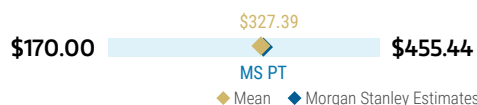
Risk Reward – Coherent Corp (COHR.N)

Street Building In Material Margin Improvement as Capacity Comes Online

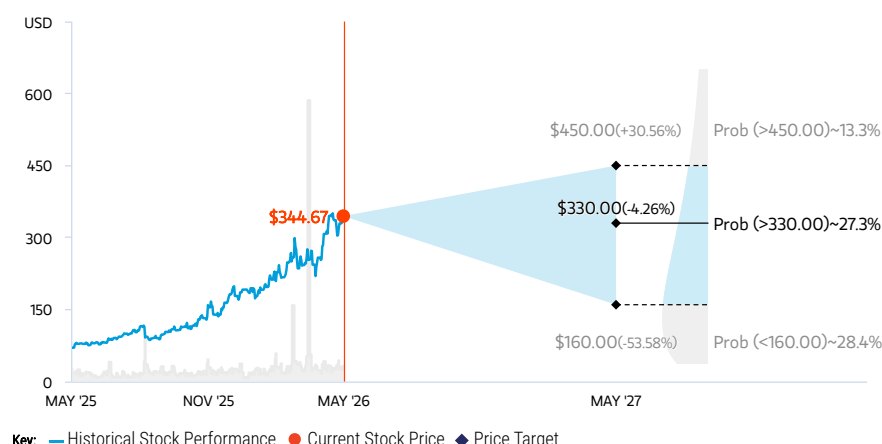
PRICE TARGET \$330.00

~28-30x Base FY28e EPS (~\$11.50). Multiple trades at premium to historical trading range given AI exposure, trading more in-line with AI comps.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

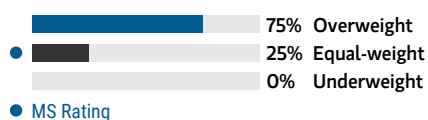


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Near-term AI/ML opportunity and potential earnings optionality as net interest expense is worked down
- Valuation reflects volatility in end demand, particularly against more challenging Analyst Day targets
- Several levers to improve earnings power, including gross margin improvements and debt reduction
- Believe in longer term growth opportunity given attractive focus on differentiated processes and diversified customer base, with meaningful exposure to AI opportunity

Consensus Rating Distribution



Risk Reward Themes

Electric Vehicles: *Positive*
 Secular Growth: *Positive*
 Special Situation: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$450.00

~30x Bull Case CY28 Earnings Power of (~\$15)

Multiple sees expansion if company able to gain share in datacomm; expand margins north of 42%. EPS power accounts for COHR executing on self-help story, and able to raise operating margins on the business. Able to participate more meaningfully in CPO / OCS.

BASE CASE

\$330.00

~28-30x Base Case FY28 Earnings Power of ~\$11.50

Spending trajectory healthy, but multiple capped by volatility of space. Giving more credit in earnings power for Analyst Day targets. However, given volatility in end markets, capping multiple at historical averages. Earnings power closer to ~\$11.50 and multiple trades at a premium to historical trading levels given AI exposure.

BEAR CASE

\$160.00

16x Bear Case FY28 EPS of ~\$10

See deterioration in pricing as too much capacity comes along. COHR is unable to execute on vision laid out at Analyst Day, limiting changes to interest expense or margin profile. Little earnings growth from FY27, causing multiple to trade slightly above 5-year minimums on the name.

Risk Reward – Coherent Corp (COHR.N)

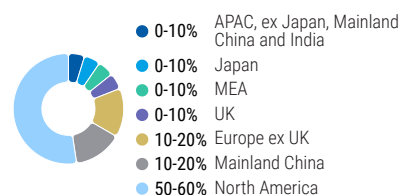
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth Y/Y (%)	23.4	21.4	34.1	33.4
Gross Margin (%)	37.9	39.4	40.5	41.3
Operating Margin (%)	17.8	20.3	22.5	24.2
Net Debt / EBITDA	3.29	2.41	1.59	1.11

INVESTMENT DRIVERS

- What is the risk of China insourcing?
- Can 3D sensing still be an attractive market for COHR?
- Can COHR get larger than expected synergies out of Coherent?
- Can datacomm components capture outsized opportunity with AI?

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Interest expense worked down given exit businesses or accelerated delevering
- Pricing increases help gross margins
- 1.6T AI opportunity ramps faster than expected, benefitting margins
- Recovery in non-datacomm portions of business

RISKS TO DOWNSIDE

- Macro headwinds or pricing increases difficult to achieve given tariffs
- SiC market competitive
- AI build out pause, catalyzed by DeepSeek
- Competitive pressures in datacomm

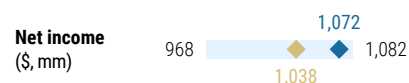
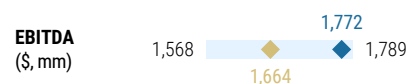
OWNERSHIP POSITIONING

Inst. Owners, % Active	65.4%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	25.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 3: COHR Income Statement

	Sep-24 Q1-25A	Dec-24 Q2-25A	Mar-25 Q3-25A	Jun-25 Q4-25A	Sep-25 Q1-26A	Dec-25 Q2-26A	Mar-26 Q3-26A	Jun-26 Q4-26E	Sep-26 Q1-27E	Dec-26 Q2-27E	Mar-27 Q3-27E	Jun-27 Q4-27E	FY 2023A	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Net Sales	1,348.1	1,434.7	1,497.9	1,529.4	1,581.4	1,685.6	1,805.6	1,983.4	2,120.3	2,269.9	2,441.3	2,631.9	5,160.2	4,707.7	5,810.1	7,056.0	9,463.3	12,621.2
% chg q/q	2.6%	6.4%	4.4%	2.1%	3.4%	6.6%	7.1%	9.8%	6.9%	7.1%	7.6%	7.8%	55.6%	-8.8%	23.4%	21.4%	34.1%	33.4%
% chg y/y	28.0%	26.8%	23.9%	16.4%	17.3%	17.5%	20.5%	29.7%	34.1%	34.7%	35.2%	32.7%						
Cost of Sales	852.8	886.7	921.1	947.3	968.8	1,028.5	1,091.4	1,190.1	1,268.4	1,352.9	1,451.3	1,558.6	3,176.1	3,092.7	3,607.9	4,278.8	5,631.2	7,408.8
Total Gross Profit	495.3	548.0	576.8	582.1	612.6	657.1	714.2	793.4	851.8	917.0	990.0	1,073.3	1,984.1	1,615.0	2,202.2	2,777.3	3,832.1	5,212.4
Total Gross Margin	36.7%	38.2%	38.5%	38.1%	38.7%	39.0%	39.6%	40.0%	40.2%	40.4%	40.6%	40.8%	38.4%	34.3%	37.9%	39.4%	40.5%	41.3%
Internal R&D Expense	125.9	137.4	141.2	149.8	147.9	158.8	178.4	184.5	188.7	204.3	219.7	236.9	473.4	451.8	554.3	669.6	849.6	1,095.2
SG&A Expense	151.8	145.7	156.3	157.2	155.8	162.3	169.7	184.9	197.4	206.7	216.9	229.5	544.2	544.8	611.0	672.7	850.5	1,066.4
Total Op Expenses	277.7	283.1	297.5	307.0	303.7	321.1	348.1	369.4	386.1	411.0	436.6	466.4	1,017.6	996.6	1,165.3	1,342.3	1,700.1	2,161.6
Operating Income	217.6	264.9	279.3	275.1	308.9	336.0	366.1	424.0	465.7	506.0	553.4	606.9	966.5	618.4	1,036.9	1,435.0	2,132.0	3,050.8
Total Operating Margin	16.1%	18.5%	18.6%	18.0%	19.5%	19.9%	20.3%	21.4%	22.0%	22.3%	22.7%	23.1%	18.7%	13.1%	17.8%	20.3%	22.5%	24.2%
Interest expense	(66.6)	(64.3)	(57.3)	(55.0)	(58.7)	(45.9)	(44.6)	(41.8)	(38.8)	(35.9)	(32.9)	(29.9)	(286.9)	(288.5)	(243.2)	(191.0)	(137.5)	(94.1)
Other income (expense)	21.5	22.6	13.7	25.0	22.2	15.6	18.7	21.0	20.0	22.0	22.0	22.0	13.9	58.7	82.8	77.5	86.0	100.3
Income Before Taxes	172.5	223.2	235.7	245.1	272.4	305.7	340.2	403.2	446.9	492.1	542.5	598.9	693.5	388.6	876.5	1,321.5	2,080.5	3,057.0
Effective Tax Rate	19.9%	17.2%	24.8%	22.5%	18.9%	18.8%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	18.2%	20.0%	21.0%	18.9%	19.0%	19.0%
Income Tax Provision	34.3	38.4	58.5	52.8	51.5	57.5	64.0	76.6	84.9	93.5	103.1	113.8	126.0	77.8	184.0	249.6	395.3	580.8
Pro Forma Net Income to Common	138.2	184.8	177.2	192.3	220.9	248.2	276.2	326.6	362.0	398.6	439.4	485.1	567.6	310.8	692.5	1,071.9	1,685.2	2,476.1
Basic Shares Outstanding	153.6	154.8	155.2	155.5	156.2	167.5	190.2	195.8	197.8	199.8	201.8	203.8	137.6	151.6	154.8	177.4	200.8	208.8
Fully Diluted Shares Outstanding	158.6	160.0	159.1	159.2	190.7	192.8	196.4	202.0	204.0	206.0	208.0	210.0	146.6	154.3	159.2	195.5	207.0	215.0
Fully Diluted Shares Outstanding GAAP	153.6	154.8	155.2	155.5	156.2	167.5	190.2	195.8	197.8	199.8	201.8	203.8						
Fully Diluted Shares Outstanding Non-GAAP	158.6	160.0	159.1	159.2	190.7	192.8	196.4	202.0	204.0	206.0	208.0	210.0						
Change	-	-	-	-	0.5	0.5	3.0	5.6	2.0	2.0	2.0	2.0	21.1	7.7	5.0	36.3	11.5	8.0
Adjusted EPS	\$0.67	\$0.95	\$0.91	\$1.00	\$1.16	\$1.29	\$1.41	\$1.62	\$1.77	\$1.93	\$2.11	\$2.31	\$2.99	\$1.21	\$3.54	\$5.48	\$8.14	\$11.52
GAAP EPS	(\$0.04)	\$0.44	(\$0.10)	(\$0.83)	\$1.19	\$0.76	\$0.97	\$1.04	\$1.20	\$1.37	\$1.52	\$1.74	(\$1.80)	(\$1.81)	(\$0.53)	\$3.96	\$5.83	\$9.24

Source: Morgan Stanley Research estimates.

Exhibit 4: COHR Revenue Breakdown

	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	FY	FY	FY	FY	FY	FY
	Q1-25A	Q2-25A	Q3-25A	Q4-25A	Q1-26A	Q2-26A	Q3-26A	Q4-26E	Q1-27E	Q2-27E	Q3-27E	Q4-27E	2023A	2024A	2025A	2026E	2027E	2028E
Revenue By Segment																		
Materials / Compound Semiconductor	237.4	243.5	236.7	236.2	217.8	196.0	196.0	198.2	204.2	209.7	205.6	207.9	1349.8	1016.6	953.8	808.1	827.4	869.2
Networking / Photonic Solutions	762.9	815.9	897.3	945.2	1004.9	1120.7	1260.3	1437.2	1565.0	1679.8	1876.0	2065.5	2341.0	2295.8	3421.3	4823.1	7186.3	10225.8
Lasers / Legacy Cohorent	347.8	375.3	363.9	348.0	358.2	369.3	349.3	348.0	351.1	380.4	359.8	358.4	1469.4	1395.4	1435.0	1424.9	1449.7	1526.2
Total	1348.1	1434.7	1497.9	1529.4	1581.0	1686.0	1805.7	1983.4	2120.3	2269.9	2441.3	2631.9	5160.2	4707.7	5810.1	7056.1	9463.3	12621.2
Materials	18%	17%	16%	15%	14%	12%	11%	10%	10%	9%	8%	8%	26%	22%	16%	11%	9%	7%
Networking	57%	57%	60%	62%	64%	66%	70%	72%	74%	74%	77%	78%	45%	49%	59%	68%	76%	81%
Lasers	26%	26%	24%	23%	23%	22%	19%	18%	17%	17%	15%	14%	28%	30%	25%	20%	15%	12%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
NEW SEGMENTATION																		
Datacenter & Communications	864.0	905.0	969.0	1018.0	1090.0	1208.0	1361.6	1538.5	1667.7	1785.7	1983.1	2172.6						
Industrial	484.0	530.0	529.0	511.0	491.0	478.0	444.0	444.9	452.6	484.2	458.3	459.3						
Total	1348.0	1435.0	1498.0	1529.0	1581.0	1686.0	1805.7	1983.4	2120.3	2269.9	2441.3	2631.9						

Source: Morgan Stanley Research estimates.

Exhibit 5: COHR Balance Sheet

	Sep-24 Q1-25A	Dec-24 Q2-25A	Mar-25 Q3-25A	Jun-25 Q4-25A	Sep-25 Q1-26A	Dec-25 Q2-26A	Mar-26 Q3-26A	Jun-26 Q4-26E	Sep-26 Q1-27E	Dec-26 Q2-27E	Mar-27 Q3-27E	Jun-27 Q4-27E	FY 2023A	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Assets																		
Cash and cash equivalents	1,071.1	929.6	909.4	918.1	875.3	899.2	2,459.7	2,247.5	2,086.0	1,932.9	1,778.4	1,630.2	833.3	1,100.0	918.1	2,247.5	1,630.2	1,216.6
Accounts receivable, net	819.7	891.8	1,010.0	964.1	1,027.2	1,054.6	1,187.9	1,288.3	1,377.2	1,474.4	1,585.8	1,709.5	901.5	848.5	964.1	1,288.3	1,709.5	2,284.4
Inventories, net	1,386.1	1,344.6	1,391.5	1,437.6	1,632.6	1,847.9	2,126.8	2,005.5	2,137.5	2,279.8	2,445.8	2,626.5	1,272.3	1,286.4	1,437.6	2,005.5	2,626.5	3,462.8
Prepaid and refundable income taxes	25.2	24.2	24.9	55.8	44.8	44.1	45.5	50.0	53.4	57.2	61.5	66.3	28.3	26.9	55.8	50.0	66.3	88.6
Prepayments and other current assets	328.1	307.3	364.1	551.6	462.0	547.6	625.3	686.9	734.3	786.1	845.5	911.4	216.5	398.2	551.6	686.9	911.4	1,217.9
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total current assets	3,630.3	3,497.4	3,699.9	3,927.2	4,041.9	4,393.4	6,445.2	6,278.2	6,388.5	6,530.4	6,716.9	6,944.0	3,252.0	3,660.1	3,927.2	6,278.2	6,944.0	8,270.5
Property, plant and equipment, net	1,875.3	1,889.6	1,936.4	1,877.5	1,944.4	2,117.0	2,420.1	2,667.0	2,928.6	3,206.4	3,503.6	3,822.6	1,782.0	1,817.3	1,877.5	2,667.0	3,822.6	5,333.9
Goodwill	4,595.6	4,391.1	4,458.0	4,471.1	4,474.8	4,462.8	4,402.4	4,402.4	4,402.4	4,402.4	4,402.4	4,402.4	4,512.7	4,464.3	4,471.1	4,402.4	4,402.4	4,402.4
Other intangible assets, net	3,514.7	3,313.7	3,282.5	3,204.7	3,133.2	3,064.1	2,958.2	2,887.7	2,817.3	2,746.8	2,676.3	2,605.9	3,814.7	3,503.2	3,204.7	2,887.7	2,605.9	2,324.0
Investment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	53.6	53.6	52.6	53.4	53.9	69.1	72.1	72.1	72.1	72.1	72.1	72.1	37.7	41.0	53.4	72.1	72.1	72.1
Other assets	1,029.8	1,052.0	1,015.5	1,377.0	1,050.6	981.4	988.7	988.7	988.7	988.7	988.7	988.7	312.0	1,002.7	1,377.0	988.7	988.7	988.7
Total Assets	14,699.3	14,197.3	14,444.9	14,910.9	14,698.8	15,087.8	17,286.7	17,296.1	17,597.5	17,946.8	18,360.0	18,835.6	13,711.1	14,488.6	14,910.9	17,296.1	18,835.6	21,391.5
Liabilities & Shareholders' Equity																		
Current portion of long term debt	69.9	27.2	4.7	188.3	48.4	106.5	9.0	9.0	9.0	9.0	9.0	9.0	74.8	73.8	188.3	9.0	9.0	9.0
Accounts payable	689.7	689.9	777.3	847.0	953.9	1,118.5	1,343.4	1,171.8	1,248.9	1,332.1	1,429.0	1,534.6	405.3	631.5	847.0	1,171.8	1,534.6	2,023.3
Accrued compensation and benefits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued income taxes payable	41.9	41.0	42.7	41.6	41.4	43.0	52.4	57.6	61.5	65.9	70.8	76.4	38.3	40.6	41.6	57.6	76.4	102.1
Other accrued liabilities	556.5	551.2	672.3	718.0	692.3	683.1	708.6	778.4	832.1	890.8	958.1	1,032.9	560.3	597.9	718.0	778.4	1,032.9	1,380.2
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total current liabilities	1,358.0	1,309.3	1,497.0	1,794.9	1,736.0	1,951.1	2,113.4	2,016.7	2,151.5	2,297.7	2,467.0	2,652.9	1,078.7	1,343.8	1,794.9	2,016.7	2,652.9	3,514.5
Long term debt	3,918.8	3,832.7	3,727.1	3,498.6	3,259.4	3,245.4	3,184.8	3,051.2	2,926.2	2,801.2	2,676.2	2,551.2	4,235.0	4,026.4	3,498.6	3,051.2	2,551.2	2,051.2
Capital lease obligation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income tax	751.1	712.8	673.8	711.7	629.5	643.3	605.8	605.8	605.8	605.8	605.8	605.8	780.3	784.4	711.7	605.8	605.8	605.8
Other liabilities	402.7	377.3	378.1	424.5	386.6	359.7	367.1	367.1	367.1	367.1	367.1	367.1	388.2	387.8	424.5	367.1	367.1	367.1
Total Liabilities	6,430.7	6,232.1	6,276.0	6,429.7	6,011.5	6,199.5	6,271.1	6,040.8	6,050.7	6,071.9	6,116.1	6,177.0	6,482.2	6,542.4	6,429.7	6,040.8	6,177.0	6,538.7
Preferred stock	2,396.6	2,428.9	2,461.6	2,483.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,686.7	2,364.8	2,483.3	2,505.3	2,505.3	2,505.3
Common stock	4,913.7	4,957.1	5,352.6	5,644.5	5,118.7	5,118.7	5,118.7	5,165.2	5,212.2	5,259.0	5,312.1	5,361.0	3,781.2	4,857.7	5,644.5	5,165.2	5,361.0	5,566.5
Accumulated other comprehensive (loss) income	644.4	208.4	208.4	489.5	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7	109.7	374.0	489.5	339.7	339.7	339.7
Retained earnings	659.0	730.1	745.8	650.2	777.2	978.2	3,105.5	3,298.7	3,543.3	3,824.6	4,140.4	4,506.3	944.4	664.9	650.2	3,298.7	4,506.3	6,495.0
Treasury Stock	(345.0)	(359.3)	(599.5)	(786.3)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(293.1)	(315.1)	(786.3)	(53.7)	(53.7)	(53.7)
Total Shareholders' Equity	8,268.6	7,965.2	8,168.9	8,481.2	8,687.3	8,888.3	11,015.6	11,255.3	11,546.8	11,874.9	12,243.9	12,658.6	7,229.0	7,946.3	8,481.2	11,255.3	12,658.6	14,852.8
Total Liabilities and Shareholders' Equity	14,699.3	14,197.3	14,444.9	14,910.9	14,698.8	15,087.8	17,286.7	17,296.1	17,597.5	17,946.8	18,360.0	18,835.6	13,711.1	14,488.6	14,910.9	17,296.1	18,835.6	21,391.5

Source: Morgan Stanley Research estimates.

Exhibit 6: COHR Cash Flow Statement

	Sep-24 Q1-25A	Dec-24 Q2-25A	Mar-25 Q3-25A	Jun-25 Q4-25A	Sep-25 Q1-26A	Dec-25 Q2-26A	Mar-26 Q3-26A	Jun-26 Q4-26E	Sep-26 Q1-27E	Dec-26 Q2-27E	Mar-27 Q3-27E	Jun-27 Q4-27E	FY 2023A	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
GAAP Cash Flow Statement																		
OPERATING ACTIVITIES:																		
Net Income (loss)	24.9	101.5	15.7	(95.6)	225.2	143.8	181.7	209.6	244.6	281.3	315.8	365.8	(259.5)	(158.8)	46.5	760.3	1,207.6	1,988.7
Depreciation	65.9	62.7	63.2	64.8	53.0	55.5	62.4	71.3	78.6	86.3	94.5	103.3	267.6	271.6	256.6	242.2	362.8	513.7
Amortization	71.9	71.7	71.7	71.7	69.4	70.5	70.5	70.5	70.5	70.5	70.5	70.5	414.1	288.2	287.0	280.9	281.9	281.9
Stock-based compensation	35.0	40.7	40.2	44.3	44.1	42.8	49.1	46.5	46.9	46.8	53.1	48.8	148.9	126.0	160.2	182.6	195.7	205.5
(Gain) loss on foreign currency remeasurements and translation	21.5	(31.0)	-	-	(4.2)	(4.3)	(1.7)	-	-	-	-	-	(3.5)	(10.6)	(9.5)	(10.2)	-	-
Earnings from equity investment	(0.4)	(0.1)	-	-	(0.2)	(0.1)	(0.0)	-	-	-	-	-	0.1	0.1	(0.5)	(0.3)	-	-
Deferred income taxes	(42.7)	(17.0)	(38.0)	37.1	(83.7)	10.6	(65.0)	-	-	-	-	-	(206.8)	(112.1)	(60.6)	(138.0)	-	-
Excess tax benefits from share-based compensation expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Earnings from discontinued operation, net of tax	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	23.8	5.0	15.3	(38.2)	(99.1)	(1.6)	1.5	-	-	-	-	-	148.6	36.9	5.9	(99.2)	-	-
Changes in operating assets and liabilities:																		
Accounts receivable	22.6	(61.4)	(118.2)	45.9	(66.6)	(24.8)	(133.9)	(100.4)	(88.9)	(97.2)	(111.4)	(123.8)	68.3	60.6	(111.2)	(325.7)	(421.2)	(574.9)
Inventories	(54.8)	(11.7)	(46.9)	(46.1)	(219.1)	(202.3)	(278.0)	121.3	(132.1)	(142.3)	(165.9)	(180.7)	174.1	(23.2)	(159.6)	(578.1)	(621.0)	(836.3)
Accounts payable	44.6	3.4	87.4	69.7	105.4	100.2	144.1	(171.6)	77.2	83.1	96.9	105.6	(83.3)	205.0	205.1	178.0	362.9	488.6
Income taxes	(13.6)	22.4	1.0	(32.0)	37.2	(66.4)	8.1	0.7	0.5	0.6	0.7	0.7	28.7	12.3	(22.2)	(20.4)	2.5	3.4
Accrued compensation and benefits	(15.5)	16.5	121.1	45.7	(48.2)	32.6	33.5	69.8	53.7	58.7	67.3	74.8	(57.1)	36.9	167.9	87.7	254.5	347.3
Other operating net assets	(30.2)	(15.5)	(56.8)	(187.5)	32.8	(98.8)	(166.0)	(61.6)	(47.4)	(51.8)	(59.4)	(66.0)	(6.0)	(187.2)	(290.0)	(293.7)	(224.6)	(306.5)
Net cash provided by Discontinued Operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash from Operations	153.0	187.4	155.6	(20.2)	46.0	57.9	(93.8)	256.1	303.7	336.1	362.2	399.1	634.0	545.7	475.7	266.1	1,401.0	2,111.5
INVESTING ACTIVITIES:																		
Additions to property, plant & equipment	(92.0)	(105.7)	(112.3)	(130.8)	(103.9)	(153.6)	(289.7)	(318.2)	(340.2)	(364.2)	(391.7)	(422.3)	(436.1)	(346.8)	(440.8)	(865.4)	(1,518.3)	(2,025.0)
Purchases/Proceeds from sale of business, net of cash	27.0	-	-	-	391.1	(5.3)	51.5	-	-	-	-	-	(5,488.6)	-	27.0	437.3	-	-
Purchase of equity investment	-	-	-	-	9.6	21.9	17.3	-	-	-	-	-	-	-	-	48.8	-	-
Other investing activities	(0.8)	(0.4)	36.5	(35.8)	(0.0)	(1.5)	(3.5)	-	-	-	-	-	(4.0)	(3.9)	(0.4)	(5.0)	-	-
Net cash from Investing Activities	(65.7)	(106.1)	(75.8)	(166.6)	296.8	(138.5)	(224.4)	(318.2)	(340.2)	(364.2)	(391.7)	(422.3)	(5,928.6)	(350.7)	(414.2)	(384.3)	(1,518.3)	(2,025.0)
FINANCING ACTIVITIES:																		
Proceeds from issuance of convertible senior notes	-	-	-	-	-	-	-	-	-	-	-	-	5,050.0	-	-	-	-	-
Proceeds from borrowings under Credit Facility	-	-	-	-	1,342.2	224.6	315.3	-	-	-	-	-	65.0	-	-	1,882.1	-	-
Payments on borrowings	(117.9)	(132.4)	(100.0)	(138.5)	(1,727.8)	(183.0)	(475.8)	(150.0)	(125.0)	(125.0)	(125.0)	(125.0)	(1,333.7)	(247.8)	(488.7)	(2,536.6)	(500.0)	(500.0)
Purchases of treasury stock	-	-	-	-	-	-	2,000.0	-	-	-	-	-	-	-	-	2,000.0	-	-
Proceeds from exercises of stock options	24.4	4.8	-	20.4	21.3	8.8	21.7	-	-	-	-	-	24.2	42.3	49.6	51.8	-	-
Payments in satisfaction of employees' minimum tax obligations	(32.0)	(13.1)	-	(9.0)	(37.4)	(7.2)	(7.0)	-	-	-	-	-	(54.2)	(22.3)	(54.0)	(51.6)	-	-
Other financing activities	(0.2)	(0.2)	-	41.9	(11.1)	0.2	0.3	-	-	-	-	-	(126.5)	-	-	(9.1)	-	-
Net cash provided by financing activities	(125.7)	(140.8)	(100.0)	(85.2)	(421.3)	42.9	1,854.4	(150.0)	(125.0)	(125.0)	(125.0)	(125.0)	3,554.0	758.3	(451.7)	1,326.0	(500.0)	(500.0)
FX Impact	9.4	(81.9)	-	281.1	35.4	61.6	24.3	-	-	-	-	-	(8.5)	(686.6)	208.6	121.3	-	-
Net increase (decrease) in cash and cash equivalents	(29.0)	(141.4)	(20.2)	9.1	(43.2)	23.9	1,560.5	(212.2)	(161.5)	(153.1)	(154.5)	(148.2)	(1,749.0)	266.7	(181.6)	1,329.1	(617.4)	(413.5)
Cash and cash equivalents at beg. of period	1,100.0	1,071.1	929.6	909.4	918.5	875.3	899.2	2,459.7	2,247.5	2,086.0	1,932.9	1,778.4	2,582.4	833.3	1,100.0	918.5	2,247.5	1,630.2
Cash and cash equivalents at end of period	1,071.1	929.6	909.4	918.5	875.3	899.2	2,459.7	2,247.5	2,086.0	1,932.9	1,778.4	1,630.2	833.3	1,100.0	918.5	2,247.5	1,630.2	1,216.6

Source: Morgan Stanley Research estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

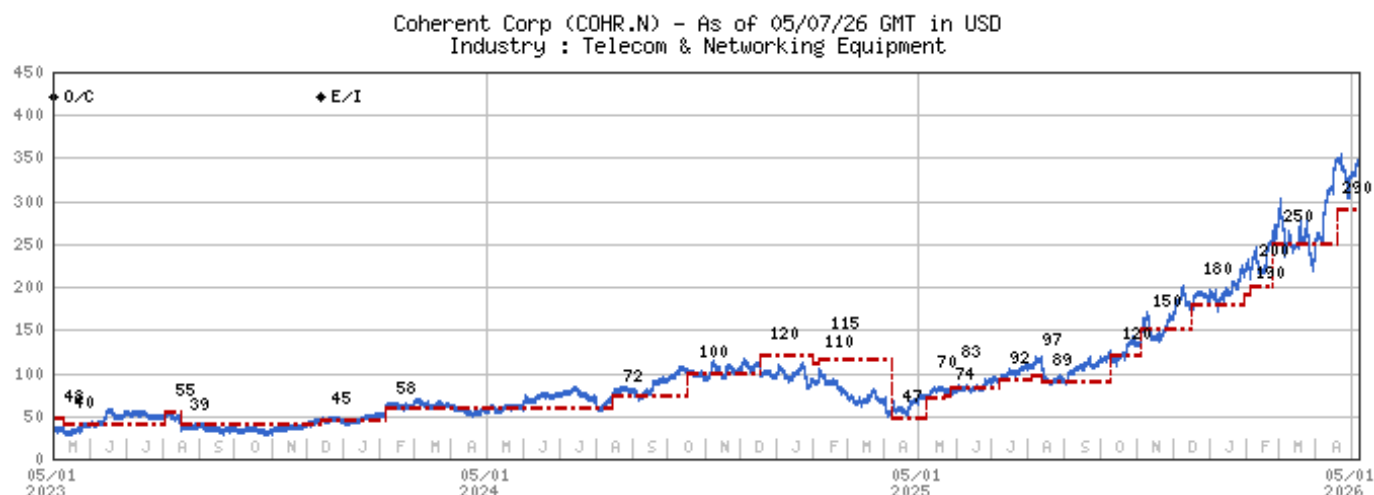
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/06/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	\$147.06
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$385.86
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$576.79
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$91.64
Coherent Corp (COHR.N)	E (12/13/2023)	\$344.67
Corning Inc (GLW.N)	E (06/13/2024)	\$181.57
F5 Inc (FFIV.O)	E (04/12/2022)	\$341.02
Keysight Technologies Inc (KEYS.N)	E (10/10/2025)	\$366.68
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$944.28
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$433.66
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	\$229.76

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* Historical prices are not split adjusted.